

Tenanted BTL Investment Opportunity

Tallis Close, Newport, NP19



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Snapshot

ASKING PRICE GBP 165,000	OFFER BEING TESTED GBP 155,000	CURRENT RENT (passing) GBP 750 pcm	REAL GROSS YIELD (at offer) 5.80%
PROPERTY TYPE 3-Bed Semi-Detached	TENURE Freehold	EPC / COUNCIL TAX C / Band B	REAL GROSS YIELD (at asking) 5.45%

Overview

Tenanted buy-to-let opportunity on Tallis Close, Newport (NP19) - a three-bedroom semi-detached freehold house with a tenant already in situ, giving an immediate income stream from completion with no void period. EPC rating C, Council Tax Band B, approx. 840 sq ft. The kitchen was replaced at the end of 2025. Listed at GBP 165,000; an offer of approximately GBP 155,000 is currently being tested with the vendor's agent and has not been accepted. A rent increase to GBP 1,150 pcm has already been served to the tenant, effective September 2026, and has been directly confirmed by the managing agent (see Tenant & Income Profile, page 2, for verification status).

Headline Numbers - Current Rent vs. Confirmed Rent Increase

- Current passing rent: GBP 173 pw / approx. GBP 750 pcm / GBP 8,996 pa
- Confirmed rent increase (served, effective Sept 2026): GBP 1,150 pcm / GBP 13,800 pa
- Real gross yield on CURRENT passing rent at asking price (GBP 165,000): 5.45%
- Real gross yield on CURRENT passing rent at test offer (GBP 155,000): 5.80%
- Gross yield on CONFIRMED increased rent at test offer (GBP 155,000): 8.90%
- The agent's headline yield figure (8.36% at asking) is calculated on the incoming target rent, not the rent currently being paid - see page 2 for the real vs. advertised yield breakdown.
- Illustrative only - see disclaimer on page 5

Property Profile

Address: Tallis Close, Newport, NP19

Type: Three-bedroom semi-detached house

Tenure: Freehold

EPC Rating: C | Council Tax Band: B

Approx. floor area: 840 sq ft

Kitchen replaced end of 2025 (grey shaker-style units, block worktop, part-tiled) - confirmed from listing photos reviewed directly. Bathroom is a dated three-piece suite in serviceable condition, not recently refurbished. Rear/side extension provides additional kitchen-diner and utility space. Garden is currently significantly overgrown - a maintenance item for the incoming landlord to address with the tenant post-completion, not a structural defect. No signs of damp, fire damage or structural movement were visible in the photos reviewed; this has not been confirmed by a professional survey.

Tenant & Income Profile

Tenant currently in situ paying GBP 173 pw (approx. GBP 750 pcm / GBP 8,996 pa). A rent increase to GBP 1,150 pcm has been served to the tenant, effective from September 2026. This has been directly confirmed by the managing agent, who lets and manages the tenancy in-house and has first-hand knowledge of the tenancy file. This is a stronger basis than a third-party sales agent's unverified claim, but the formal rent increase notice itself has not yet been independently sighted in documentary form. Sight of the tenancy agreement, the Section 13 (or equivalent) rent increase notice, rent statement/bank records, gas safety certificate, EICR and deposit protection reference is recommended before this is relied upon as fact for exchange purposes.

Real Yield vs. Advertised Yield

The listing's headline gross yield (8.36% at asking price) is calculated using the incoming target rent of GBP 1,150 pcm, not the rent currently being paid. On the rent actually being collected today (GBP 750 pcm), the real current gross yield is 5.45% at asking price and 5.80% at the GBP 155,000 test offer. The GBP 1,150 pcm figure is independently corroborated by third-party rental market data for comparable 3-bedroom houses in the NP19 postcode area, and is further supported by the rent increase already having been served to the tenant - but it is not yet income being received, and should be underwritten on that basis until the increase takes effect in September 2026.

Strategy

Primary strategy: acquire with the existing tenant in place and let the confirmed September 2026 rent increase take effect naturally, moving passing income from GBP 8,996 pa to GBP 13,800 pa without any void period or re-letting cost. No refurbishment is required to let the property in its current form - the kitchen was replaced at the end of 2025. Secondary consideration: budget for garden clearance shortly after completion as a minor, low-cost tidy-up item.

Condition - Tenanted, Minimal Works Required

This is a tenanted, income-producing property. Photos reviewed directly show a lived-in family home: kitchen replaced end of 2025 and in good order; bathroom dated (older-style suite and tiling) but functional, no visible leaks or damage; bedrooms decorated and in normal tenant-occupied condition; living/utility areas serviceable. Garden is heavily overgrown and would benefit from clearance post-completion. No indications of damp, fire damage or structural defects were visible in the photos supplied - this is a visual review only, not a survey finding. An independent RICS Level 2 Homebuyer Report is recommended prior to exchange to confirm structural condition, particularly given the property's age and the rear/side extension.

Illustrative Cashflow - At Test Offer Price (GBP 155,000)

Annual rental income (current passing rent, GBP 750 pcm)	GBP 8,996
Real gross yield on test offer (current passing rent)	5.80%
Annual rental income (confirmed increase, GBP 1,150 pcm, from Sept 2026)	GBP 13,800
Gross yield on test offer at confirmed increased rent	8.90%

Illustrative Acquisition Costs - At Test Offer Price (GBP 155,000)

Wales uses Land Transaction Tax (LTT), not Stamp Duty. As an additional/buy-to-let property, higher residential LTT rates apply. At GBP 155,000 the whole price falls within the first higher-rate band (5% up to GBP 180,000, effective from 11 December 2024), giving an estimated LTT of GBP 7,750. Legal and survey costs below are typical market estimates, not quotes - confirm actual figures with a solicitor and surveyor before relying on them.

Purchase price (test offer)	GBP 155,000
Land Transaction Tax (higher residential rate, est.)	GBP 7,750
Legal fees (est.)	GBP 1,200
Survey - RICS Level 2 (est.)	GBP 550
Estimated total acquisition cost	GBP 164,500
Real gross yield on estimated total acquisition cost (current rent)	5.47%

Deal Summary

Asking price	GBP 165,000
Offer being tested (not yet accepted)	GBP 155,000
Current passing rent	GBP 750 pcm / GBP 8,996 pa
Confirmed rent increase (served, effective Sept 2026)	GBP 1,150 pcm / GBP 13,800 pa
Real gross yield at asking price (current rent)	5.45%
Real gross yield at test offer (current rent)	5.80%
Gross yield at test offer (confirmed increased rent)	8.90%

Comparable Evidence - Tallis Close & NP19 Market Context

HM Land Registry sold-price data (via Rightmove) for Tallis Close and the surrounding NP19 postcode shows the most relevant recent comparable as:

Address	Type	Sold Price	Date
Tallis Close, Newport	3-bed terraced	GBP 170,000	Nov 2023

This is a terraced comparable, not semi-detached, and the most recent sale is from November 2023 - presented as the closest available like-for-like data point rather than a precise valuation. The agent's stated CMV of GBP 180,000 is an agent assertion and has not been independently verified against sold comparables at that level; the Nov 2023 comparable at GBP 170,000 sits below it.

Basis for Test Offer

The GBP 155,000 test offer sits below both the GBP 165,000 asking price and the closest available sold comparable (GBP 170,000, Nov 2023), and is being used to gauge the vendor's flexibility before committing further time to the deal. It has not been accepted and remains subject to negotiation and contract. The rationale for pursuing this deal despite a modest current yield is the confirmed, already-served rent increase to GBP 1,150 pcm from September 2026, which lifts the yield materially without requiring a tenant changeover, refurbishment, or void period.

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The offer of approximately GBP 155,000 referenced in this document is being tested with the vendor's agent and had not been accepted as of the date of this pack. Terms remain subject to contract and may change. The confirmed rent increase to GBP 1,150 pcm has been verbally confirmed by the managing agent but the formal notice has not yet been independently sighted by VM Property Sourcing Ltd in documentary form.

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